Canada Bread
Report to Shareholders
Management's Discussion and Analysis

An exceptional quarter for the Company, driven by significant growth in the higher nutrition, higher margin grain breads. The leading line of whole grain branded baked goods, along with exciting new products like *Dempsters Smart* white bread, continue to grow market share by meeting consumer need for highly nutritious breads that deliver the taste their family enjoys. The Company is also continuing to offset inflationary pressures, including a continued rise in fuel and freight costs, through ongoing price increases.

Sales for the first quarter increased by approximately 4% to $301.6 million from $289.4 million for the prior year, driven mostly by improved product mix.

Earnings from operations for the first quarter increased to $28.0 million compared to $22.0 million last year. Comparisons of earnings from operations exclude $4.7 million ($3.2 million after tax) of restructuring costs in the first quarter of 2005. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

Net earnings for the quarter increased 28% to $19.4 million ($0.76 per share) compared to $15.1 million ($0.59 per share) before restructuring charges last year. Restructuring charges of $4.7 million ($3.2 million after tax) were incurred in the first quarter of 2005. Including the restructuring costs, net earnings were $11.9 million ($0.47 per share) for the first quarter of 2005.

Operating Review

The following table, which forms the basis of discussion in this document of the Company's results of operations, reflects operating earnings by business segment before restructuring costs:

Earnings from Operations

($ millions)	First Quarter		
	2006	2005	Change
Fresh Bakery	**21.6**	15.0	44%
Frozen Bakery	**6.4**	7.0	(8%)
	28.0	22.0	27%

Fresh Bakery *(Fresh bakery products and specialty fresh pasta and sauces)*

Fresh Bakery sales increased to $207.5 million in the first quarter from $197.8 million last year driven by inflationary price increases and improvement in sales mix, offset by some short term market softness.

Earnings from operations in the first quarter increased to $21.6 million compared to $15.0 million last year, largely due to an improved product mix. This business benefited significantly from growth in branded and higher margin higher nutrition categories as part of its overall sales mix. In the first quarter the Company launched *Dempster's Smart*, a white bread product made with a new enriched whole wheat flour that provides the health attributes of whole grain bread. This is the first product of its type in the Canadian market, and provides a higher nutrition alternative to white bread consumers, who represent a large component of the Canadian bread market. The business also benefited from new customer contacts and a price increase implemented in February to offset high fuel and freight prices.

The fresh pasta business also increased earnings in the quarter due to increased retail volume supported by growing North American market share and sales of higher margin products.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales in the first quarter increased to $94.1 million from $91.6 million last year due to higher volumes driven by new business in the foodservice channel and increased bagel sales.

Frozen bakery earnings from operations for the first quarter decreased to $6.4 million from $7.0 million last year due to the impact of higher freight and energy costs and the slower pace of price increases in this market. Earnings from the U.K. Bakery operations increased in the quarter, benefiting from the commissioning of the new bagel plant in Rotherham, England early in 2005 and related sales and earnings growth. This plant is the largest bagel producer in the U.K., and in addition to meeting rising consumer demand for bagels in the UK, is manufacturing for export markets including the Netherlands, Iceland and Ireland.

Cash Flow and Financing

Cash flow from operating activities was a use of funds for the first quarter of $5.5 million compared to $3.9 million last year. An increase in net earnings was offset by a change in operating working capital mainly as a result of the increase in sales.

Capital expenditures for the first quarter declined slightly to $9.9 million compared to $11.9 million last year.

Acquisitions

During the quarter, Canada Bread acquired Harvestime Limited ("Harvestime"), a U.K.-based bakery, for net cash consideration of $1.9 million. This acquisition broadens the U.K. bakery's operating capabilities to manufacture par-baked bread products and also positions the Company as a major supplier to the in-store bakery market.

Changes in Accounting Policies

Effective January 1, 2006 the Company retroactively adopted, with restatement of prior periods, the guidance presented in EIC Abstract 156, "Accounting by a Vendor for Consideration Given to a Customer (including a Reseller of the Vendor's Products)". The new guidance requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive, an identifiable benefit in exchange for the consideration. This impact of the adoption of this standard was a reduction in sales during the quarter of approximately $30.5 million (2005: $27.5 million).

Quarterly Financial Information

The following is a summary of unaudited quarterly financial information for the nine interim periods ended March 31, 2006 (thousands of dollars except per share amounts):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales [(i)]	**2006**	**$301,564**				
	2005	289,376	$314,280	$314,518	$308,832	1,227,006
	2004	280,350	302,289	307,024	317,678	1,207,341
Net Earnings	**2006**	**19,397**				
	2005	11,885	21,262	23,038	18,737	74,922
	2004	12,549	15,799	19,048	19,252	66,648
Net Earnings before restructuring costs	**2006**	**19,397**				
	2005	15,104	21,262	23,038	18,737	78,141
	2004	12,549	15,799	19,048	19,252	66,648
Earnings per Share						
Basic	**2006**	**$0.76**				
	2005	0.47	$ 0.84	$ 0.91	$ 0.74	2.95
	2004	0.49	0.62	0.75	0.76	2.62
Basic before restructuring costs	**2006**	**0.76**				
	2005	0.59	0.84	0.91	0.74	3.07
	2004	0.49	0.62	0.75	0.76	2.62
Diluted	**2006**	**0.76**				
	2005	0.47	0.83	0.90	0.74	2.93
	2004	0.48	0.61	0.73	0.75	2.57

[(i)] Refer to Changes in Accounting Policies section above.

Derivatives

In the ordinary course of business, the Company enters into derivative financial instruments to reduce underlying valuations and cash flow risks associated with foreign currency, interest rates and commodity prices. If the Company had not entered into these contracts, operating earnings for the first quarter of 2006 would have been lower by $0.3 million (2005: higher by $0.1 million). Interest expense for the first quarter of 2006 would have been higher by $0.7 million (2005: higher by $0.2 million).

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect," "anticipate," "intend," "attempt," "may," "plan," "believe," "seek," "estimate," and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from what is expressed, implied or forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise.

These forward looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and U.S. economies, the rate of appreciation of the Canadian dollar versus the U.S. dollar, the availability and prices of raw materials, energy and supplies, product pricing, the competitive environment and related market conditions, operating efficiencies, access to capital, the cost of compliance with environmental and health standards, adverse results from ongoing litigation and actions of domestic and foreign governments. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts. Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have, its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements include, among other things: the risks posed by food contamination, consumer liability and product recalls; the risks related to the creditworthiness of customers to whom the Company extends credit; the Company's exposure to currency exchange risks; the impact of international events on commodity prices and the free flow of goods; the risks posed by compliance with extensive government regulation; the risk due to the consolidating customer environment; leverage risk and the risk posed by pandemic.

Other Matters

The Company declared a dividend of $0.06 per share payable on July 4, 2006 to shareholders of record on June 9, 2006.

Canada Bread, which is 87.5% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2005 sales of $1.2 billion and employs approximately 7,300 people at its operations across North America and in the United Kingdom.